KLINE ALVARADO VEIO·PC

August 1, 2025

Board of Trustees of the
Town of Nederland
Nederland, Colorado

Re: Engagement as Bond Counsel in connection with the issuance of Enterprise Revenue Bonds by the Town of Nederland, acting by and through its Mountain Recreation Enterprise Fund

Members of the Board:

You have asked Kline Alvarado Veio, P.C., to serve as Bond Counsel to the Town of Nederland, Colorado (the "Town"), acting by and through its Mountain Recreation Enterprise Fund (the "Enterprise" and together with the Town, the "Issuer") in connection with the proposed issuance of the above-captioned bonds (the "Bonds"). The purpose of this engagement letter is to set forth certain matters concerning the services that we will perform as Bond Counsel and to agree, in general terms, upon our fees for such services. We understand that the Bonds will be issued for the purpose of (i) financing the acquisition and costs related thereto of the Eldora Mountain Resort from its current owner, (ii) funding capitalized interest and a debt service reserve fund for the Bonds, and (iii) paying costs of issuing the Bonds. We also understand that the Bonds will be authorized by an ordinance (the "Ordinance") to be adopted by the Board of Trustees of the Issuer (the "Board") and issued pursuant to an Indenture of Trust (the "Indenture") to be entered into between the Issuer and a commercial bank having trust powers. Additionally, we understand that the Bonds will be publicly offered and sold for and on behalf of the Issuer by an investment banking firm serving as underwriter.

Scope of Engagement and Duties to be Performed

As Bond Counsel, our chief function is to render an objective legal opinion with respect to the authorization and issuance of the Bonds. Assuming that no legal impediments to the issuance of the Bonds become apparent, we contemplate furnishing to the Issuer and the underwriter our approving opinion (the "Bond Opinion") as to the validity and binding effect of the Bonds, the source of payment and security for the Bonds and the excludibility of the interest on the Bonds from gross income for federal and Colorado income tax purposes, which opinion will be executed and delivered by us in written form on the date the Bonds are exchanged for their purchase price (the "Closing"). Upon delivery of the Bond Opinion, our responsibilities as Bond Counsel will be concluded with respect to the Bonds.

The Bond Opinion will be based on facts and law existing as of its date. In rendering our Bond Opinion, we will rely upon the certified proceedings and other certifications of public officials and other persons furnished to us without undertaking to verify the same by independent

investigation. We will also assume continuing compliance by the Issuer with applicable laws relating to the Bonds. During the course of this engagement, we will rely on the Issuer to provide us with complete, accurate and timely information pertaining to the Bonds and their security. We understand that in this regard we will have full and timely cooperation of the members of the Board, Issuer officers and staff, other appropriate public officials, the Issuer's accountants and auditors and the Issuer's general counsel. Our Bond Opinion will be based on the facts and law existing as of the date of the Closing as well as information that the Issuer provides. In rendering our Bond Opinion, we may also expressly rely upon the general counsel to the Issuer and other parties to the transaction, such as the underwriter and its counsel, if any, as to certain matters where appropriate.

In addition to rendering our Bond Opinion, we expect to perform the following duties:

- Prepare and review all legal documents required for authorization, securing, issuance and a public offering of the Bonds. These documents will include the Ordinance, the Indenture, and all related Issuer proceedings, resolutions and documents that might be required, including all necessary filings with the Internal Revenue Service subject to the limitations contained in this engagement letter.

- Review enabling legislation and legal issues relating to the structure of the bond issue and the authorization and issuance of the Bonds.

- Prepare or furnish the closing documents and various certificates to be signed by the Issuer and other participants in the transaction.

- Consult with the Issuer and the Issuer's general counsel, if necessary, concerning Colorado law matters pertaining to the Issuer and the Bonds.

- Assist the Issuer, upon request, in seeking from other governmental authorities such approvals, permissions and exemptions as we determine are necessary or appropriate in connection with the authorization, issuance and delivery of the Bonds.

Our duties as Bond Counsel in this engagement are limited to those expressly set forth above. Among other things, our duties as Bond Counsel will <u>not</u> include the following:

- Preparing requests for tax rulings from the Internal Revenue Service, or no action letters from the Securities and Exchange Commission.

- Preparing Blue Sky or investment surveys with respect to the Bonds.

- Drafting state constitutional or legislative amendments.

- Pursuing test cases or other litigation, such as contested validation proceedings.

- Representing the Issuer in Internal Revenue Service examinations or inquiries, or Securities and Exchange Commission investigations.

- After Closing, providing continuing advice to the Issuer or any other party concerning any actions necessary to assure (1) that interest paid on the Bonds will

continue to be excludible from gross income for federal income tax purposes *(e.g.,* our engagement does not include rebate calculations for the Bonds, although we will perform such calculations pursuant to a separate engagement) or (2) compliance with any continuing disclosure undertaking related to the Bonds; provided, however, that from time to time the Issuer may require advice or other legal services in connection with municipal finance matters that do not result in the issuance of Bonds, and it is intended that this engagement shall cover any such additional representation to the extent reasonably requested by the Issuer.

- Addressing any other matter not specifically set forth above that is not required to render our Bond Opinion.

Although we ordinarily draft suggested forms for authorizing and closing documents, we do not assume responsibility for verifying the truth or completeness of facts certified as true and complete by others, nor, except as necessary to our Bond Opinion, do we assume responsibility for examining legal questions on which other participating lawyers are asked to opine. We do not review the financial condition of the Issuer or the adequacy of the security provided for the Bonds.

As noted above, our chief function as Bond Counsel is to render an objective legal opinion with respect to the authorization and issuance of the Bonds. We customarily do not negotiate the terms of the transaction on behalf of the Issuer but will advise the Issuer as to the impact of such terms on our ability to render our Bond Opinion. We assume that other parties to the financing will retain such counsel as they deem necessary and appropriate to represent their interests in this transaction.

Under present law and regulations and our current understanding of the structure of the financing, we anticipate that the Bonds will be exempt from registration pursuant to the Securities Act of 1933, as amended, and that the Ordinance and Indenture, if any, will be exempt from qualification under the Trust Indenture Act of 1939, as amended. Thus, no filings with the Securities and Exchange Commission will be necessary. However, the Bonds may be subject to registration or qualification in certain states. Our Bond Opinion will not make reference to any state law registration or qualification requirements for any jurisdiction in which the Bonds are to be sold, and we will undertake no Blue Sky survey or investment survey with respect to the Bonds in issuing our Bond Opinion and other opinions that may be required at Closing.

Compensation and Reimbursement

Based upon our current understanding of the proposed terms, structure, size and schedule of the financing, the proposed duties and responsibilities that we propose to undertake with respect thereto as outlined herein and the time that we anticipate will be required to carry out such duties and responsibilities, we estimate our fees for our services as Bond Counsel as described in this letter will be in the range of $200,000 to $250,000.

In addition to fees for providing legal services, we are customarily reimbursed for certain extraordinary out-of-pocket expenses associated with the financing, including, for example, courier services, express delivery services, cost of reports provided by governmental entities such as the County Assessor's office, regulatory filing fees, travel outside of the Denver metropolitan area and transcript preparation charges. We estimate that such out-of-pocket expenses will not exceed $5,000.

We understand and agree that payment of our fees shall be payable at Closing. If the Bonds are not issued, for whatever reason, we will invoice the Town for our accrued time and expenses at the hourly billing rate(s) of $695 per hour for K.C. Veio and $450 per hour for Lindsay Conroy.

Conflicts

As you are aware, our firm represents many political subdivisions, companies and individuals. It is possible that during the time that we are representing the Issuer, one or more of our present or future clients will have transactions with the Issuer. It is also possible that we may be asked to represent, in an unrelated matter, one or more of the entities involved in the issuance of the Bonds. We do not believe such representation, if it occurs, will adversely affect our ability to represent you as provided in this engagement letter, either because such matters will not be sufficiently different from the issuance of the Bonds so as to make such representations not adverse to our representation of you, or because the potential for such adversity is remote or minor and outweighed by the consideration that it is unlikely that advice given to the other client will be relevant to any aspect of the issuance of the Bonds. Execution of this engagement letter will signify the Issuer's consent to our representation of others consistent with the circumstances described in this paragraph.

Miscellaneous

Our willingness to undertake the functions described herein with respect to the Bonds will be based upon the facts available to us at that time. We will commence our function with respect to the Bonds after determining that nothing has come to our attention at that time which would lead us to conclude that there are any legal obstacles to delivery of the Bonds. We will proceed with the understanding that should anything come to our attention prior to the issuance of the Bonds that would, in our opinion, cast doubt upon the legality of the transaction, we will not be obligated to render our Bond Opinion.

At your request, papers and property furnished by you will be returned promptly. Our own files, including lawyer work product, pertaining to the transaction will be retained by us. We will not dispose of any documents or materials without first notifying the Issuer of our intent to so dispose and allowing the Issuer to retrieve the records if desired.

As previously stated, representation during Internal Revenue Service random and directed audits or Securities and Exchange Commission investigations regarding the Bonds is beyond the scope of this engagement letter. However, in the event of a random or directed audit of the Bonds by the Internal Revenue Service or questions raised regarding the Bonds by the Securities and Exchange Commission, assuming the absence of any conflict of interest, we would represent you, if you request, during the audit or investigation, subject to a supplemental engagement letter and at our standard hourly rates. You would also have the option to retain separate counsel to represent you during such an audit or investigation; assistance we might be called upon to render to such separate counsel would also be charged at our standard hourly rates.

Upon execution of this engagement letter, the Issuer will be our client and an attorney-client relationship will exist between us. We assume that all other parties will retain such counsel as they deem necessary and appropriate to represent their interests in this transaction. We further assume that all other parties understand that in this transaction we represent only the Issuer,

we are not counsel to any other party and we are not acting as an intermediary among the parties. Our services as Bond Counsel are limited to those contracted for in this letter, and the execution of this engagement letter by the Issuer will constitute an acknowledgment of those limitations. However, our representation of the Issuer will not affect our responsibility to render an objective Bond Opinion.

Our representation of the Issuer, and the attorney-client relationship created by this engagement letter, will be concluded upon issuance of the Bonds. Nevertheless, subsequent to Closing, we will mail the appropriate Internal Revenue Service Form 8038-G and prepare and distribute to the participants in the transaction a transcript of the proceedings pertaining to the Bonds.

If the foregoing terms are acceptable to you, please so indicate by returning the enclosed copy of this engagement letter dated and signed by an authorized officer, retaining the original for your files. We look forward to working with you on this matter.

KLINE ALVARADO VEIO, P.C.

Kent C. Veio

By:_____
Kent C. Veio

This Engagement Letter is accepted and approved as of August __, 2025.

TOWN OF NEDERLAND, ACTING BY AND THROUGH ITS MOUNTAIN RECREATION ENTERPRISE FUND

By:_____

Name:_____

Title:_____